S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Supplier ESG Programs
Include Modeled Scores : Yes

Supplier ESG Programs

Question

Does the company have measures to ensure effective implementation of its suppliers' ESG programs?

Rationale

Developing and deploying sound supplier ESG programs is a foundational strategic and operational activity for organizations.

The purpose of this question is to evaluate whether companies have systems/procedures in place to ensure effective internal implementation of the supplier ESG program and to identify and address material risks and impacts resulting from supply activities. Clear and structured governance, together with internal communication and training, are needed to ensure the correct plan, implementation, and improvement cycles. Organizations not only need to have systems/procedures in place to track the impact of ESG along their supply chains, but they also need to ensure that these practices are routinely reviewed to ensure that their business demands, and expectations, are in line with established ESG requirements. Suppliers which provide goods or services used in the company's production processes and suppliers providing goods and/or services (e.g. machines/infrastructures) that are used as operational capital

Performance Summary	
Question Level Company Performance	
Question Weight	
Year-on-Year Change	
Industry Average Score	
Industry Highest Score	

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Supplier ESG program

For businesses to identify, assess, and plan corrective measures in relation to the sustainability of their supply chains, it is crucial to implement a robust and comprehensive supplier ESG program. A supplier-focused ESG program is the collection of activities and measures that enables businesses to recognize and assess potential ESG risks, and consequently, plan remedial measures to assure solid sustainability performance along the supply chain.

Companies should make sure that this due diligence approach is deployed also within the organization, to guarantee harmonization between ESG strategy for the supply chain and the company's purchasing practices.

Oversight of implementation: Strategic oversight to ensure alignment of vision and implementation is critical to ensuring successful strategies and programs. This is also true for the supply chain ESG strategy and the supplier ESG program. To guarantee maximal priority and focus, this oversight should ideally sit on the board of directors. Alternatively, top executive management is also acceptable as it can align ESG strategies of different divisions/functions and drive the organization to reach its sustainability goals. The CEO individually is not acceptable as the CEO is ultimately accountable for all areas of a company's operations.

Review of purchasing practices to avoid potential conflicts with ESG requirements: Purchasing practices not only include the choice of the material/part/product/service to be bought or the supplier from which to purchase the needed items. They also include specific indications on costs and quality of the products, as well as delivery times. It is of paramount importance that the company's orders allow suppliers to comply with the company's ESG requirements. This option guarantees that the company is continuously reviewing its purchasing practices to avoid potential conflicts with its ESG strategy.

Exclusion of suppliers that cannot achieve minimum ESG requirements within a set timeframe: Companies should set minimum requirements that suppliers must comply with to access tenders or be selected for contract awarding. The best practice for companies is interacting with those fundamental suppliers which do not meet these requirements and providing development opportunities with the objective of improving their performance and becoming eligible. This opportunity should have a clear timeframe set, after which suppliers that are not able to meet expectations should be removed from the potential supplier's list until they become eligible.

Preference of suppliers with a better ESG profile by applying a minimum weight to ESG criteria: Supplier preference rationale can vary for different industries, locations, and business models. Among well-known dimensions such as price, delivery times, and quality, ESG performance should also be considered. Most advanced companies incorporate ESG performance in suppliers' selection by including in selection methodologies a specific weight for ESG dimensions, which guarantees that sustainability is embedded into supplier selection and contract awarding.

Training for company's buyers and/or internal stakeholders on the Supplier ESG program: It is crucial for companies to set up training for buyers and/or relevant internal stakeholders in their roles and on how their day-to-day actions and decisions are fundamental to reach the company's ESG objectives. Low/middle/top management training is not accepted for this option.

Data Requirements

- **This question requires public evidence.** Please indicate where in your public reporting you report information about the selected options.

Not Applicable – General Rule

"Not Applicable" for this question (beyond the industries detailed below) will only be accepted for special cases. In such cases, the company must credibly explain via a comprehensive company comment and/or public reporting that it does not purchase goods or services for the purposes below. To be granted "Not Applicable", the company must state they:

- Do not use goods or services in the company's production processes, and
- Do not re-sell goods or services to the company's customers, and
- Do not utilize goods or services as capital goods (e.g. machines/infrastructure) in the company's operations.

Industry-specific special cases:

REI – Equity Real Estate Investment Trust (REITs): companies that have only marked 'Management of Standing Investments' as the main activity of the business in question '0.1 Denominator Area' should mark "Not Applicable" in this question.

REM – Real Estate Management & Development: companies that have only marked 'Services' as the main activity of the business in question '0.1 Denominator Area', should mark "Not Applicable" in this question.

OIE - Energy Equipment & Services Industry: Services Companies (consultancy or seismic surveying), should mark "Not Applicable" in this question.

Standards & Frameworks

CDP Climate - C12.1, C12.2, C12.2a

UNGP - A2.4, C4

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has systems/procedures in place to ensure effective implementation of company's supplier ESG programs required to identify and address material risks and impacts	Not measured
Disclosure on the highest decision-making body for supplier ESG programs.	Not measured
Disclosure on continuous review of purchasing practices to ensure alignement with Supplier Code of Conduct and to avoid potential conflicts with ESG requirements.	Not measured
Disclosure on exclusion process for suppliers who cannot achieve minimum ESG requirements.	Not measured
Disclosure on application of minimum weight to ESG criteria, propaedeutic to select suppliers with better ESG performance.	Not measured
Disclosure on delivering of trainings for buyers/other internal relevant stakeholders on their roles in the supplier ESG program.	Not measured
Oversight of implementation of the supplier ESG program is defined. Please select the highest accountable decision-making body:	Not measured

Questionnaire

Does your company have systems/procedures in place to ensure effective implementation of company's supplier ESG programs required to identify and address material risks and impacts?

Please specify where this information is available in your public reporting with reference to the description of selected options.

1. ○ Yes, we publicly disclose the measures below related to supplier ESG programs.
    1. ☐ Oversight of implementation of the supplier ESG program is defined. Please select the highest accountable decision-making body:
        1. ○ Board of directors
        2. ○ Executive management
    2. ☐ Purchasing practices towards suppliers are continuously reviewed to ensure alignment with the Supplier Code of Conduct and to avoid potential conflicts with ESG requirements.
    3. ☐ Suppliers are excluded from contracting if they cannot achieve minimum ESG requirements within a set timeframe.
    4. ☐ Suppliers with better ESG performance are preferred by applying a minimum weight to ESG criteria in supplier selection and contract awarding.
    5. ☐ Training for company's buyers and/or internal stakeholders on their roles in the supplier ESG program.
2. ○ No, we do not publicly report this information.
3. ○ Not applicable. Please provide explanations in the comment box below.

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.